

counts. “Companies have given discounts individually, and it is market forces that determine how much discount is given,” says Aggarwal of VECV.

According to Nalinikanth Gollagunta, CEO of the Automotive Division at Mahindra & Mahindra, the company has offered discounts in line with the industry at 1.5%. “As the market evolves and as the customer responds, we will be very open to offering more discounts,” he adds.

The policy must be embraced because it aims to tackle such problems as pollution, road traffic, and congestion and aims to improve fuel efficiency, says Rajeev Chaba, CEO Emeritus of JSW MG Motor India. “That’s why there should be huge incentives from all stakeholders, including OEMs (original equipment manufacturers). We have agreed to 3%, and I am sure when people start seeing success, these discounts will be higher,” he says.

The government, too, is studying if it should tweak the rules such that they are linked to carbon emissions instead of the age of vehicles, Anurag Jain, Secretary, MoRTH, said during the SIAM event in September. “People tell us that if they’ve maintained their vehicle well, why should they be mandated to scrap it? We are studying whether we can enforce a scrapping mandate where the upper limit is relative to the pollution of the vehicle... instead of the 15-year mandate,” Jain said.

ROAD FILLED WITH CHALLENGES

Drawing on the experiences of the European and US automobile markets, at the SIAM conference in September, Gadkari said both were able to increase domestic automobile sales by 9–10%. But there is a big, gaping hole in operationalising the policy. “India has [30 million] end-of-life vehicles. The fitness centres are a problem,” Gadkari said. He called on automakers to set up fitness and scrapping centres.

“In the current scrapping infrastructure, there are only 63 operational scrapping centres; 60 are under

construction, and 14 are in the pipeline. There are just 78 operational [fitness centres], 179 are under construction, and 83 are in the pipeline,” said Gadkari. The government has pegged the requirement at 1,000 scrapping centres, and there are over 100 scrapping centres per the road transport ministry.

Companies appear to have heeded the call to bridge that gap. Tata Motors, the country’s largest commercial vehicles manufacturer, has five registered vehicle scrapping centres under its REWIRE strategy. The company plans to roll out more in the next few months. Ashok Leyland is also preparing to launch its first facility under a franchise model in Tamil Nadu. The

company plans to open three to four more in the next 12 months, Shenu Agarwal, MD & CEO, Ashok Leyland, told reporters on the sidelines of the SIAM event.

The industry is aware of the knock-on benefits. “When all the old vehicles are scrapped, materials such as steel, rubber, plastic, and aluminium, among others, can be circulated back. They will have an advantage for the environment and will have low cost, which will benefit the industry,” concurs Aggarwal of VECV.

One segment that could face some trouble is that of two-wheelers. Puneet Gupta, Director for India &

Asean Automotive Market at rating firm S&P Global, says: “This is a very price-sensitive segment.” Many of those using older two-wheelers tend to be from lower-income backgrounds. “I don’t believe the programme will be very effective because, for those with bikes that are 10 or 15 years old, the main issue is that they often lack the financial means to purchase new vehicles. Given the high cost of newer models, this policy might not provide much assistance to them,” he adds.

Gupta, however, sees scrapping picking up pace in the passenger and commercial vehicle segments.

The industry and the government will be hoping that that comes true. In the meantime, there is work to be done in terms of scaling up the infrastructure. **BT**

@OrielAstha11, @BhutaniChetan

THE ELIGIBILITY TO PHASE OUT OLD VEHICLES DEPENDS ON AN INSPECTION AT A FITNESS CENTRE. IF THE VEHICLE IS DEEMED FIT, THE OWNERS WILL RECEIVE A CERTIFICATE OF HEALTH FOR FIVE MORE YEARS